

Is your process totally fundamentally driven, or does the system also include technical factors?

There are no technical inputs.

So in contrast to the majority of CTAs who use a systematic approach based only on technical factors, primarily or solely price, you also use a systematic approach, but one based on only fundamental factors.

That's right.

What is the origin of the Bridgewater system?

Beginning around 1980, I developed a discipline that whenever I put on a trade, I would write down the reasons on a pad. When I liquidated the trade, I would look at what actually happened and compare it with my reasoning and expectations when I put on the trade. Learning solely from actual experience, however, is inadequate because it takes too much time to get a representative sample to determine whether a decision rule works. I discovered that I could backtest the criteria that I wrote down to get a good perspective of how they would have performed and to refine them. The next step was to define decision rules based on the criteria. I required the decision rules to be logically based and was careful to avoid data mining. That's how the Bridgewater system began and developed in the early years. That same process continued and was improved with the help of many others over the years.

Are the individual rules in the compendium of rules that make up the Bridgewater system sometimes revised or do they remain static through time?

They are sometimes revised. For example, we used to look at how changes in the oil price affected countries. Between the first oil shock and the second oil shock in the 1970s, crude oil was discovered in the North Sea, and the U.K. went from being a net importer to a net exporter. That event prompted us to change how we configured the decision rule that related to oil prices so that when the mix of export and import items changed, the rule changed.

How are you able to manage such a large amount of money without substantially impeding your performance? In fact, in 2010, you